

#4: Don't fall for FOMO — stick to a strategy

Fear of missing out (or FOMO) investing is when investors feel pressured to invest in a company or fund because they are scared they'll miss out on a big opportunity.

No-one wants to be left behind in a gold rush. No-one wants to be the person who laughed at Bill Gates when he shared his views about how the internet would change the world. Everyone wants to find the next Apple: stocks that skyrocket after their IPO and make many people wealthy.

However, for every Apple there are hundreds of stocks that don't make it. After all, small-cap stocks, smaller companies looking to grow quickly, are often more volatile.

Now that it's easier and faster to access information than ever before, FOMO investing is harder to resist, especially with the likes of GameStop or AMC skyrocketing in 2021. GameStop was a videogame and merchandise retailer that was on a downward trend. Yet, due to FOMO investing and a concerted effort by investors on Reddit's r/wallstreetbets forum to 'stick it to the man' the stock went from US\$17.69 on 8 January 2021 to US\$325 on 29 January ... and then down to US\$40.59 on 19 February (see [figure 9.3](#), overleaf).